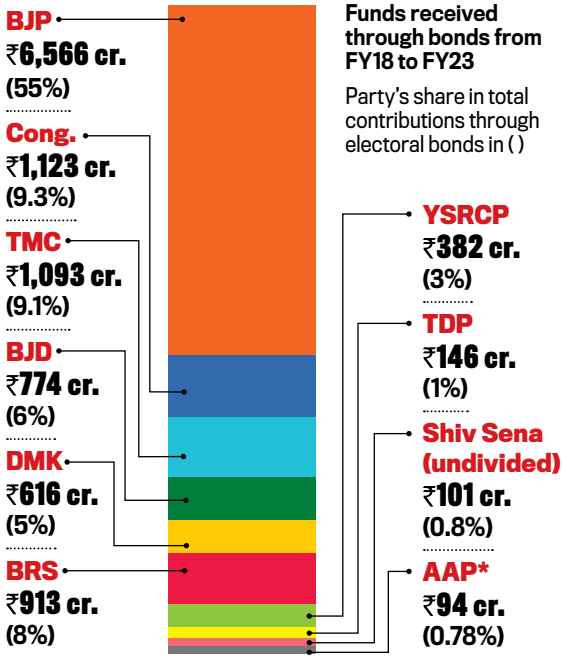
THE LION'S SHARE...

The ruling BJP has cornered more than half of the funds routed through electoral bonds



Funds received through bonds from FY18 to FY23

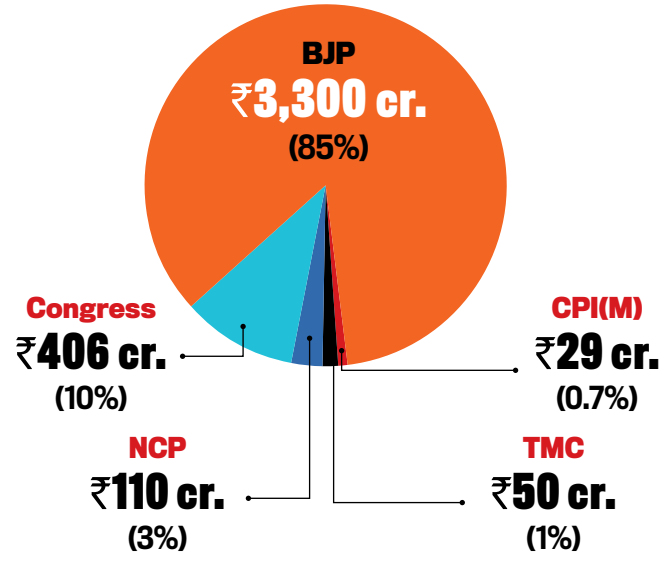
Party's share in total contributions through electoral bonds in ( )

**Includes money received through electoral trust*

Source: Association for Democratic Reforms

EVEN VIA OTHER MEANS

...as well as 85 per cent of the Rs 3,895 crore corporate groups donated to national parties through bank donations and electoral trusts



Total funds received from corporate groups from FY17 to FY22

Party's share in total contributions by corporate groups to all political parties in ( )

Source: Supreme Court of India

limit reduced to Rs 2,000 in 2017—as there was no need to name donors who contributed less than that amount. For 11 years, the Bahujan Samaj Party had declared that it had not received any donations above Rs 20,000.

The income from such unknown sources accounted for 66 per cent of the funds of political parties between 2014-15 and 2016-17. The share jumped to 72 per cent between 2018-19 and 2021-22, though electoral bonds replaced cash. Take the BJP's income, for example. In 2015-16, when there were no election bonds, the party declared a total income of Rs 571 crore, of which Rs 461 crore, or 81 per cent, came from unknown sources. In 2021-22, the party's declared income touched Rs 1,917 crore, of which Rs 1,161 crore (or 60 per cent) was attributed to unknown sources. Electoral bonds accounted for Rs 1,034 crore, or 89 per cent, of the unaccounted-for sources of income. And while the BJP government claimed that bonds were introduced to incentivise the flow of clean money through banking channels, instead of bringing transparency, the extended legal apparatus surrounding electoral bonds simply brought to the formal economy the flow of money that would earlier change hands in the form of cash. "With bonds gone, parties will have to show more entries of less than Rs 2,000," says a Congress leader.

ANONYMITY VS TRANSPARENCY

Transparency and accountability of political funding depend on the regulatory framework around donations, expenditure, and disclosure, backed by strict implementation. One of the reasons the Supreme Court struck down electoral bonds is because, in its opinion, such anonymous bonds violated the voters' Right to Information under Article 19(1)(a) of the Constitution since they would not know to which political party the contribution was made. Such information is necessary to identify corruption and quid pro quo arrangements in governance, the bench said.

The court also observed that while the privacy of donors is important, transparency in political funding cannot be achieved by granting absolute exemptions. Holding that electoral bonds were not the only method available to combat black money, the court said the scheme's purpose of curbing black money did not justify its infringement on the Right to Information. The bench also declared as arbitrary the amendment to Section 182 of the Companies Act, 2017, which had knocked off the upper limit of 7.5 per cent of a company's profits on how much a company could donate to a political party through electoral bonds. Treating political contributions by companies and individuals alike violated the Right to Equality, as enshrined in Article